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# *The Future of American Strategy: Weaponizing Interdependence*

A short essay, originally published by CFR's Future of American Strategy Initiative, on how power in the international economic system has evolved and lessons from a year when Trump weaponized access to U.S. demand while Xi weaponized access to Chinese supply.

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Brad W. Setser

CFR EXPERT

Whitney Shepardson Senior Fellow

China's stunning rise, and its global lead in manufacturing, have raised questions about both the nature of economic power and the United States' continued economic preeminence. In one sense, there is not much reason for debate: the U.S. share of global output has been remarkably constant over the last forty years. China's rise, though extraordinary, has statistically come at the expense of the other Group of Seven (G7) countries. And U.S. financial markets, or at least its equity market, account for a larger share of any global stock index than at any point in the last fifty years.



But that misses enormous changes in how sources of economic leverage are conceived and defined. Ten years ago, conventional wisdom held that economic power flowed from creating rules and influencing global institutions. The central argument, at least in Washington, was that the United States could leverage its 20 percent share of the world economy to write nearly 100 percent of global economic rules and simultaneously maintain controlling stakes in the key international financial institutions.

But China had no intention of playing by rules it did not write. Beijing, therefore, ignored the rules and played by its own, achieving significant industrial and technological successes. An outstanding example is its creation of a world-leading electric vehicle industry, shielded by a tariff wall and nourished by large state subsidies. Even in the United States, political support for many of the established rules has been weakened by the sense that they were written primarily to benefit a narrow slice of the U.S. population.

The old thesis of sources of economic power has lost intellectual dominance. Now, economic power is instead largely conceptualized through the logic of weaponized interdependence. There have been lively debates over when interdependence becomes dependence, when dependence needs to be reduced or simply managed, and whether states can deter other states from weaponizing their economic chokepoints.

As those debates played out, President Donald Trump started his second term by weaponizing access to the U.S. consumer market. Traditional trade deals—where both parties reduced barriers—were shunned, and the constraints of legacy trade agreements were cast aside. The goal of Trump's second-term tariffs was not to negotiate new global rules for trade, but to compel U.S. trading partners to accept unequal terms. The United States raised tariffs, and other countries agreed, albeit reluctantly, not only to refrain from raising their own tariffs in retaliation but also to reduce their own tariffs. The European Union, though, argues it did so because of interdependence on

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the United States for security, rather than its dependence on the U.S. market.

The most important development of 2025, though, was that China did not accept a deal akin to the one the United States hashed out with the EU in Turnberry, Scotland, where the Trump administration forced Europe to accept high tariffs in exchange for access to the U.S. market. Beijing pushed back forcefully against Washington's demands and ultimately was able to convince the administration both to roll back its tariffs and to narrow certain proposed export restrictions. China did so by walling off its market to U.S. goods, counting on pressure from the farm states that rely on the Chinese export market to moderate U.S. demands (its playbook from Trump's first term). It also weaponized its dominance of the supply chains needed to produce rare earths and other critical minerals, laying out comprehensive export controls that threatened to shut down the U.S. auto industry and complicate military production. This Chinese action established a precedent that in many ways is more important than the Trump administration's decision to disregard the United States' WTO tariff commitments and raise tariffs to levels not seen since the 1930s.

It is worth noting that China's response to U.S. tariff threats came through its control of key supply chains, not through its weaponizing of U.S. bond holdings. That fact alone suggests that transforming finance into leverage to achieve strategic goals is harder than often assumed. Further evidence can be seen in the great difficulty that China has had in converting its Belt and Road lending into enduring influence. Ecuador, for example, took a great deal of Belt and Road money to build hydroelectric dams without ending up permanently in China's orbit. And when Zambia defaulted on loans from China's Export-Import Bank and other state banks, it ended up reducing China's leverage over the country, rather than increasing it.

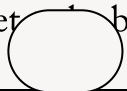
The relative weakness of finance as leverage could also be seen following the financial sanctions that  countries

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though those were among the strongest possible financial sanctions, they did not hinder Moscow's ability to fight. Rather, its aggression against Ukraine continues four years after its reserves were frozen and its access to new international lending entirely cut off.

The reality is that most countries do not depend on either U.S. financial markets or the U.S. government for funding. Instead, the global flow of capital is overwhelmingly into the United States, not from the United States to the rest of the world. Wall Street's core work is mobilizing global funds to invest in the U.S. economy, not mobilizing U.S. funds to invest globally. Countries that fund the United States aren't necessarily going to be deterred by the prospect that they cannot raise funds in the United States, and the United States has been less willing to impose sanctions limiting new inflows into the U.S. bond market than to try to raise a toll for access to the U.S. consumer market.

One reason Russia survived heavy Western sanctions is that it did not need access to either its accumulated foreign currency reserves or new U.S. or European financing to prosecute its war against Ukraine. So long as there were buyers for Russian oil exports, the Kremlin would be fine. China is in a similar position; its industrial, technological, and strategic goals can be financed entirely out of the country's large domestic savings. Its state banks fund the rest of the world out of domestic savings, not the other way around.

The United States still has unrivalled influence over the global economy. But U.S. leverage is not unlimited. The United States faces a determined rival with many cards of its own to play. It isn't in a position to use its economic leverage to impose any vision of a global economic order on China, let alone use its economic pull to integrate China into a strategic order. Nor have the consequences of a world where the two leading economic powers have weaponized supply (as China has) and demand (as the United States has) been fully digested by the rest of the global economy. The old global economic order is dying; a new one has yet  born.

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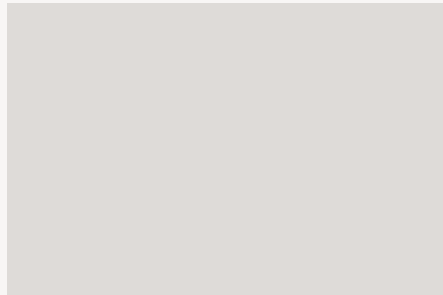


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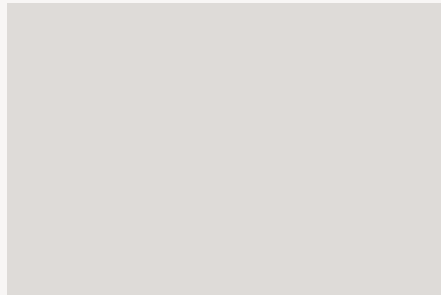
CHINA



### Americans Beware: Markets Can Be Out of Sync With Reality

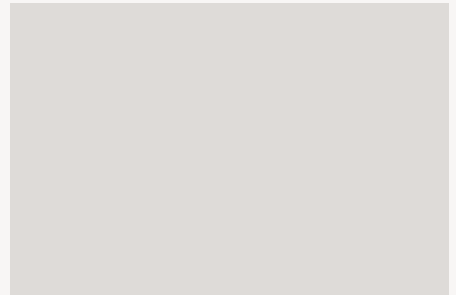
By Robert E. Rubin

May 21, 2026



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By Joshua Kurlantzick

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## *Finding China in the U.S. TIC Data*

A technical post with an important update to my estimate of China's true holdings of U.S. bonds.

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Brad W. Setser

CFR EXPERT

Whitney Shepardson Senior Fellow

The joint G7 decision to sanction Russia's reserves after the invasion of Ukraine clearly had a significant impact on China.

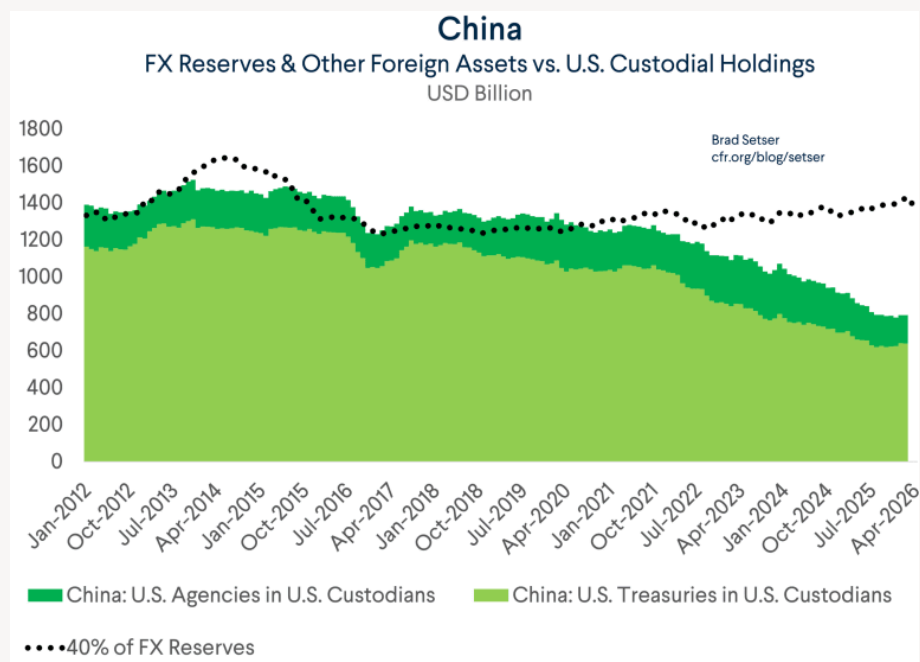
Some say that it led China to diversify out of the dollar. I have doubts.

Yes, there was an increased bid for gold from the PBOC. But that bid was, judging from China's disclosed data, marginal.\*

China hasn't disclosed the currency composition of its reserves since 2020. But it isn't clear that China's central bank has shifted its currency composition of its foreign currency holdings around a lot, in part because the dollar share of its reserves was already low (55 percent) and going underweight the dollar means losing yield.



But there is no doubt that China's holdings did start to disappear from the U.S. data right after the G-7 immobilized Russian reserves in early 2022. There is a clearly fall around this time in the bonds China holds in U.S. custodians.



This often is reported as a move out of the dollar—but it need not be.

There are lots of ways of holding U.S. dollars indirectly through non-U.S. custodians.

The hard part is estimating just how many bonds China holds through the various custodial and financial centers around the world. That is, of course, the subject of this blog.

Estimating China's true holdings of U.S. assets has gotten harder because it seems like China has diversified not just out of the US, but also out of Euroclear (a large Belgium-based custodian). Its holdings in Belgium were a bit too obvious, and the Euroclear custodial arrangement turns out to be punitive to a sanctioned central bank.

## The Origins of the “Belgium Adjustment”

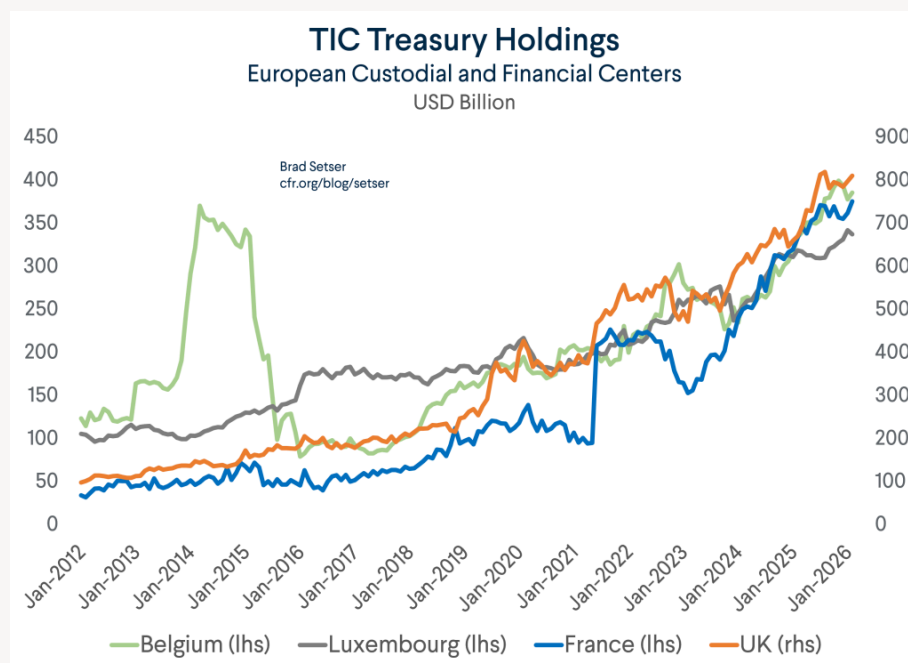


The initial attribution of the bulk of the Treasuries held in Euroclear's custodial account to China was based on three factors.

First, Belgium entered the data in a strange way. Back during the days of a separate transactions data series, there were almost no direct purchases of U.S. bonds by Belgian entities. Treasuries that ended up in Belgium were all bought in other jurisdictions (London, Paris, sometimes Hong Kong) and then moved to a Belgian custodian. That mapped to the fact that China never appeared cleanly in the purchases data; many of its U.S. holdings also didn't appear in the transactions data either.

Second, SAFE has an equity stake in Euroclear, which always seemed like a hint.

Third, Belgium's holdings didn't move with the other custodial centers, but did move with China's reserves.



In fact, the adjustment for “Belgium” is essential to get a good fit with changes in China reserves in 2015 and 2016, as the Treasuries in Euroclear were sold before the Treasuries in U.S. custodians.





But the attribution to Belgium is now stale. It is essentially based on data from 2010 to 2016. In recent years there has been no real difference between the movement of Treasuries held in Belgium and Treasuries held in other European financial centers.

## A new Model for China's Treasury Holdings— Using all European financial centers

Since 2020 or so, there has been a huge increase in the Treasuries held in custodians in the UK, France, Luxembourg, and Belgium. Ireland of course also holds a lot of Treasuries too, but those are thought to be the assets of U.S. firms that use Ireland as a center of tax avoidance.



The rise in the Treasury holdings of a broad set of custodial centers hints that China could now be using a broader set of custodians. It certainly has a reason not to just use Euroclear (Belgium) these days. The freeze on Russia's reserves not only put Euroclear in the news but it also highlighted a specific risk to holding assets that could be frozen in Euroclear: Euroclear doesn't pay interest to the owner of a frozen asset after a bond in its custodial account matures; the funds just roll into a zero-interest deposit account.

It would be easier to attribute some of the rise in the holdings of these custodial centers to China if China's reserves were rising and the rise in reserves could be matched to the rise in custodial holdings of a particular center (as with Belgium from 2010 to 2014). But now the match is more complicated as China's reserves are basically flat (the rising foreign assets of the state banks do not tend to appear cleanly in the U.S. data). In order for the pieces of the puzzle to fit, there should be a rise in the holdings of the custodial centers that offsets the gap created by the fall in Treasuries in U.S. custodians relative to China's reserves.

And since all the custodial centers are now moving together, any one of the centers could be helping to fill that gap.



It turns out that Belgium is around 20 percent of the total Treasuries held in the main European custodial centers other than Ireland (France, the UK and Luxembourg). As a result, changing the custodial center adjustment from “all long-term holdings in Belgium” to 20 percent of the Treasuries held in Belgium, Luxembourg, the UK and France—with the new adjustment starting during the pandemic—doesn’t change China’s total estimated holdings much.

The new methodology though does indicate a lower level of confidence in the adjustment, and thus a higher probability that Treasuries held by non-U.S. custodians for Chinese state investors could be somewhat smaller or higher than this calculation assumes.

To highlight this point, look at a plot with 30 percent of the holdings in all the custodial centers attributed to China. It looks different than the Belgium-only adjustment I used to use both in the 2010 to 2016 period and now.



As an aside, it wouldn't matter if the UK were removed from the estimate on the grounds that the UK's big Treasury holdings reflect basis trades and other relative-value trades by London-based hedge funds and similar financially driven flows. Belgian, Luxembourgish and French holdings have all moved together.

## Oh, Canada: China's Hidden Agency Book

In the past, I didn't adjust China's reported holdings of Agencies in my benchmark estimate of China's U.S. holdings. But things need to change.

China's holdings of Agencies in U.S. custodians stopped rising in early 2022 and really started to fall after the end of 2023. They now stand at around \$150 billion, down from a recent peak of over \$250 billion.

And there have been big, and some surprising, changes in the rest of the Agency custodial data since the pandemic.\*

For one, Canada—or someone using a Canadian custodian—took a sudden interest in Agencies around 2020. There was a



big jump in the June 2021 annual survey, and Canadian holdings continued to rise through 2024.

There were also substantial rises in the Agency holdings of Luxembourg and France in 2024 and 2025, as well as some strange moves in the UK that drove the European data from 2020 to 2022.

Sum up China's holdings with the holdings of Canada and the European custodial centers\* and an upper-end estimate for China's true Agency holdings could be as high as \$500 billion.



That seems a bit too high. Unless there has been a really big shift out of Treasuries or some other shift in the underlying data, this would imply that China's dollar share is going up, not down (the other logical possibility is that China's state banks have started to appear in the data).\*\*\*

A more modest adjustment just looks at the change in Canadian, Luxembourgish, and French holdings since 2022 or so. That puts China's current holdings at around \$300 billion.

This is as much an art as a science.

I am focusing on countries whose Agency holdings jumped suspiciously around the time China's holdings started to fall (just as Belgium's holdings jumped once the U.S. custodial data got more attention), together with the surprise rise in Canadian holdings over the last five years, and using that jump to make an estimate of what China's actual portfolio might be. And to make the chart look smooth I left out the big jump in French and Canadian custodial holdings in June 2021. Add those in and China's holdings jump by around \$70 billion, to close to \$400 billion.

And full disclosure: I got a tip from a market insider who suggested that the rise in Canada's holdings was rather suspicious.

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The overall result suggests that China has reduced the share of its portfolio in long-term Treasuries, while increasing its bill holdings and maintaining a sizeable Agency portfolio of around 10 percent of total reserves (more than before 2020).

Zooming in on the chart in highlights that the key implication of this upward adjustment to China's estimated holdings of Agencies is that China's total U.S. financial holdings remain between 50 and 55 percent of its reserve portfolio.



The error band is conscious; I don't have a good estimate of the portfolio equity holdings of China's sovereign wealth fund that are managed in-house and could bleed into the U.S. TIC data, and attributing all the visible equity holdings to SAFE is a stretch.

The bigger story, of course, is that China's true holdings of U.S. bonds cannot be assessed by just looking at the "China" line in the TIC data. Both the Treasury and the Agency portfolios need to be adjusted for the bonds that China keeps on custody in Canada and in Europe.

That adds to uncertainty around the estimate, as it seems likely that China is now using multiple non-U.S. custodians to mask its true holdings.

But it doesn't make it any less necessary to try to do an adjustment, and not to take the now predictable falls in the bonds that China holds in U.S. custodians as evidence that China is abandoning the dollar.

\* The PBOC balance sheet data suggests only a bit over 10 million fine troy ounces in gold purchases; most of the reported increase in gold holdings is from  gold prices.

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Of course, many suspect that China isn't disclosing all of the gold now held by the central bank.

\*\* Neither Canada nor Europe (or rather investors using U.S. custodians) have historically been big holders of Agencies. The big buyers abroad were in Japan and Taiwan—and of course China. Korea was a smaller player in the market. Agencies have appealed to both large reserve managers and Asian life insurers looking for a bit more yield than available in either their local bond market or in U.S. Treasuries.

\*\*\* The large dollar portfolios of China's state commercial banks have never appeared cleanly in the U.S. data for a host of reasons—not the least of which is that they don't have access to the Fed's custodial facilities. It is possible that some of their \$400 billion in foreign securities holdings (per the Chinese banking data) could be bleeding into the custodial data now. But their biggest market impact has been indirect, as a source of funding for global investors, including hedge funds, that buy and hold Treasuries as one leg in a basis or swap-spreads trade. Both trades require holding large quantities of cash bonds, and thus large amounts of funding. And Chinese bank claims on other banks have been rising.

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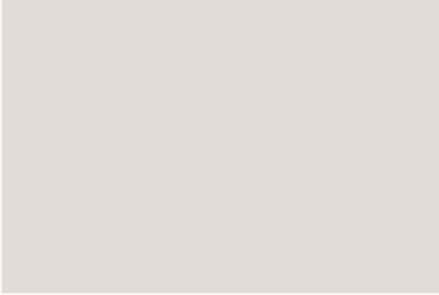
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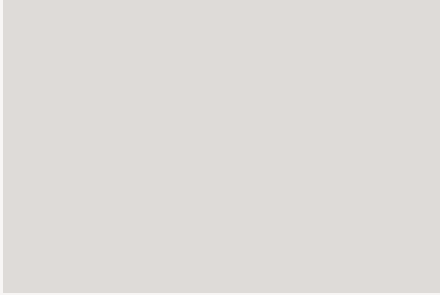
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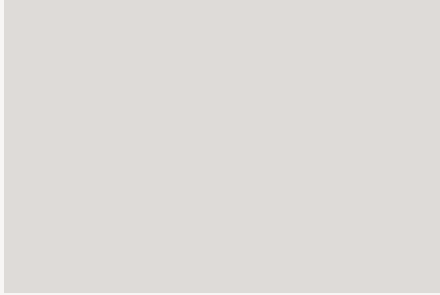


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